

Alan Joyce to stand down as Qantas chief executive after tumultuous week

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Business, Economics and Finance



Tue 5 Sep 2023 at 8:49am



Alan Joyce's abrupt departure from Qantas is not the farewell the CEO envisioned, says senior business correspondent Peter Ryan.

Alan Joyce will leave Qantas on Wednesday after a tumultuous week for the airline.

Qantas announced his early departure saying Mr Joyce would bring forward his retirement by two months to help the company "accelerate its renewal".

"In the last few weeks, the focus on Qantas and events of the past make it clear to me that the company needs to

Key points:

- Alan Joyce will step down within 24 hours
- He says the company must focus on its renewal

move ahead with its renewal as a priority," Mr Joyce said in a statement.

- Mr Joyce says he is proud of many things he did as chief executive of the airline

"The best thing I can do under these circumstances is to bring forward my retirement and hand over to Vanessa and the new management team now, knowing they will do an excellent job."

The news of Mr Joyce's abrupt departure comes less than a week after the competition regulator [launched legal action against Qantas](#) for allegedly selling tickets to flights that had already been cancelled over a three-month period in 2022.

Qantas said it was taking those accusations seriously.

The airline's current chief financial officer, Vanessa Hudson, will assume the role of managing director and group chief executive effective September 6, and is the first female CEO in the airline's 103-year history.

She was scheduled to take over from Mr Joyce in November after being appointed in May.



Incoming Qantas CEO says airline must work to regain trust.

In a message to employees, Ms Hudson told staff the airline must work to regain the trust of customers and said the new management team would be focused on making customers a priority.

"We've overcome many challenges in the process and right now it feels like we're facing another challenging time," she said.

"We know that post-COVID we haven't always delivered to what our customers expect.

"But we are listening and we hear what they are saying.

"As a company, our job is to get the balance right between looking after customers, you our people and the business itself.

"Right now achieving this balance must first start with our customers. And that's what we will be focused on with our new management team."

Mr Joyce has spent 15 years as the airline's CEO, and extended his tenure at the request of the Qantas board to assist with its recovery from the pandemic.



Qantas CEO Alan Joyce has exited early amid ongoing controversy for the airline. *(Patrick Begley)*

Qantas needs to restore the public's confidence, chair says

Mr Joyce said there was a lot of he was "proud" of over his 22 years at Qantas, including the past 15 years as chief executive.

"There have been many ups and downs, and there is clearly much work still to be done, especially to make sure we always deliver for our customers," he said.

"But I leave knowing that the company is fundamentally strong and has a bright future."

Qantas chairman Richard Goyder thanked Mr Joyce for his service, saying his decision to bring forward his retirement showed he was putting the company first.

He said Qantas now faced the task of winning back the public's confidence.

"This transition comes at what is obviously a challenging time for Qantas and its people," he said.

"We have an important job to do in restoring the public's confidence in the kind of company we are, and that's what the board is focused on, and what the management under Vanessa's leadership will do."

On Monday, Qantas' board of directors issued a statement in response to the ACCC action, where they apologised for falling short of expectations after the pandemic.

The board also acknowledged Qantas' reputation "has already been hit hard on several fronts" and was taking the community's frustration and disappointment seriously.

"We know that the only way to fix it is by delivering consistently," the statement said.

"We know it will take time to repair. And we are absolutely determined to do that."



Alan Joyce was elevated to Qantas CEO in 2008, and was at the helm during several scandals for the flying kangaroo.
(AAP: Bianca De Marchi)

Unions demand Joyce be stripped of bonuses

The national secretary of the Transport Workers Union, Michael Kaine, said the news of Mr Joyce's departure from Qantas was "the first good decision the Qantas board has made for a very long time".

Mr Kaine said Mr Joyce needs to have his millions of dollars worth of bonuses stripped "immediately".

"Alan Joyce is slipping into retirement two months early with a \$24 million pay packet, leaving one of the biggest messes in corporate Australia's history in his wake," he said.

"After finally receiving the public scrutiny he deserves for trashing one of Australia's most cherished companies, Alan Joyce is exiting with a \$10 million bonus, announced on Friday.

"He must be stripped of those bonuses immediately."

Had Mr Joyce stayed as Qantas CEO until November, he would have accumulated about \$125 million during his time in the job.

It is unclear what will happen with his entitlements now he has stepped down.

Mr Kaine said that in the wake of Qantas' record pre-tax profit of \$2.5 billion last month, on top of \$2.7 billion worth of taxpayer funding the airline received during the pandemic, and past actions of grounding of the fleet and illegal outsourcing of jobs, the company needed to refocus and chart a new path forward.

"The question now should turn to whether the board should spill their positions following years of decimated jobs and standards, illegal outsourcing, and outrageous bonuses," he said.

"The new regime must embark on a total reset. Qantas needs to bring back good, secure jobs and quality standards."

The Australian Council of Trade Unions (ACTU) has also welcomed Mr Joyce's decision to leave the airline earlier than scheduled, and said Qantas has an opportunity to start fresh.

"Whilst we welcome Alan Joyce's exit, what really needs to go is the culture of profit over people," ACTU president Michele O'Neil said.

"Now is the opportunity for Qantas to restore its reputation as the nation's flagship carrier by working with unions to pay workers the fair wages and conditions they deserve and restore customers' faith in this airline."



Vanessa Hudson has spent more than 20 years working at Qantas. (ABC News: Harriet Tatham)

Mounting problems for the airline

In the past fortnight, Qantas has been involved in a number of controversies.

On Monday last week, the airline admitted it had not disclosed the true value of its unredeemed flight credits, [during a fiery Senate committee hearing in Melbourne](#).

Qantas had publicly said it had \$370 million in outstanding flight credits on its books, but senators were told during the hearing that Jetstar had another \$100 million in outstanding flight credits on its books, and Qantas' international passengers had more flight credits owed to them too.

The airline's executives also told senators that they'd set a deadline of December 31 for millions of dollars worth of outstanding flight credits to be claimed.

But after a public backlash, Qantas backtracked.

On Thursday, Mr Joyce announced Qantas was removing the expiry dates on \$570 million worth of COVID travel credits owed to Australian and international customers which were due to run out at the end of this year.

"These credits and vouchers will never expire," he said in a video statement.
"We're doing this because we've listened."

That same morning, Australia's competition regulator accused Qantas of engaging in misleading and deceptive conduct by allegedly advertising and selling tickets to flights that the airline had already cancelled.

The Australian Competition and Consumer Commission (ACCC) launched its legal action in the Federal Court of Australia on Thursday, accusing Qantas of selling tickets for flights that were scheduled to depart between May and July 2022, but which had been cancelled, and that it sold tickets for those flights on its website for an average of more than two weeks after the cancellations, and in some cases for more than a month.

Qantas customers have also launched a class action in relation to the airline's flight credits. The regulator says affected customers may be able to seek remedies against Qantas as part of the class action.

Last month, [Mr Joyce again ruled out paying back \\$2.7 billion in taxpayer handouts](#) provided during the pandemic, including \$855 million solely for the JobKeeper wage subsidy.

He told ABC's 7.30 that the best way for Qantas to repay the money was by earning higher profits, therefore paying more corporate tax, and the airline would pay corporate tax again in the 2025 financial year.



How business and unions reacted to Alan Joyce's early departure.

Mixed reactions to the news

The news of Mr Joyce's early exit has sparked a mixed reaction from politicians and industry insiders, with some questioning the future of the chairman's position.

Nationals senator Bridget McKenzie said she believed the pressure Qantas has been under over the past week led to the departure.

"It was the Senate inquiry last week that revealed his very generous bonus package, the fact that Qantas had actually put half a billion dollars of travellers' money on their balance sheet instead of back into the travelling public's pockets," she said.

Transport Minister Catherine King said the decision marked the end of one era and the start of a new one, with Australia's major airlines now both run by women.

"His [Mr Joyce's] decision to bring forward his retirement from Qantas provides an opportunity for new leadership," she said.

"I wish Vanessa Hudson every success in her new role."



Federal Transport Minister Catherine King wished the new Qantas CEO all the best. (ABC News: Luke Stephenson)

Minister for Workplace Relations Tony Burke, who has legislation before the parliament to close what he calls a labour hire loophole, where employers use labour hire workers to avoid offering the pay and conditions in enterprise agreements, said he wanted Qantas employees to be fairly.

"Most companies don't use it, but Qantas is a company that has been using the labour hire loophole in a pretty extraordinary way. My objective is to make sure that people at Qantas are paid fairly."

Labor senator Tony Sheldon said Mr Goyder's job should be on the line if the airline does not quickly improve its operations.

Mr Sheldon, who was previously the secretary of the Transport Workers' Union, said the board also needed to be held to account for the company's actions.

"They need to turn around and say they are backing the Australian public, they are backing Australian customers and they're going to turn around and make sure there is a difference and a change to what's happening in regards to this company's operations. And if that doesn't happen, Richard Goyder should go when the November AGM comes up," he said.



Labor senator Tony Sheldon is calling the Qantas board to account. (ABC News: Adam Kennedy)

Strategic Aviation Solutions analyst Neil Hansford agreed Mr Goyder was at risk.

"He's been sitting, copping the very large payments," he said.

"And Richard Goyder should go not long after Alan and [Qantas should] have a complete clean-out. Let him take two or three of the long-term directors who clearly have not been fulfilling their role in the oversight of the Qantas product."

Investment manager Roger Montgomery said the early departure raised more questions about the management of Qantas.

"Does it hang the board out to dry?" he said.

"In all of the decisions that have been made by management of the company, they've had to go to the board for approval, so the board have tacitly approved of the events that have been brought to light recently in the press."

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Posted Tue 5 Sep 2023 at 8:49am, updated Tue 5 Sep 2023 at 9:56pm